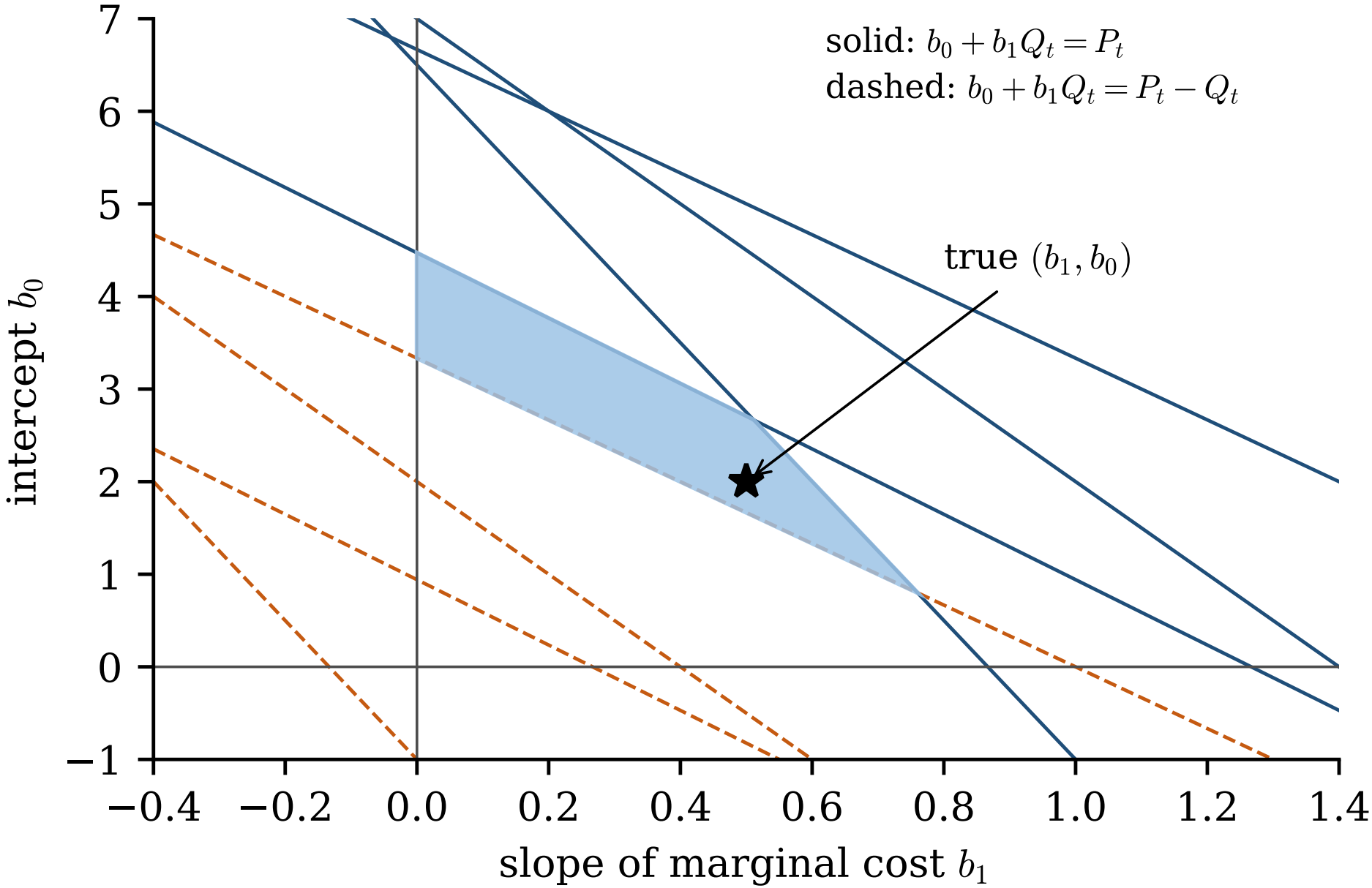
solid: $b_0 + b_1 Q_t = P_t$
dashed: $b_0 + b_1 Q_t = P_t - Q_t$
true (b_1, b_0)
intercept b_0
slope of marginal cost b_1
7
6
5
4
3
2
1
0
−1
−0.4
−0.2
0.0
0.2
0.4
0.6
0.8
1.0
1.2
1.4